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The member countries consist of developed donor countries and borrower countries. International Bank for Reconstruction and Development, Asian Development Bank, African Development Bank, and European Investment Bank are some of the MDBs.

## B. Based on the Status given by the RBI

### Scheduled Banks and Non Scheduled Banks

All banks which satisfied the norms and included in the Second Schedule to the RBI Act, 1934 are called scheduled banks. Such banks are given financial accommodation and remittance facilities at concessional rates by the RBI.

There is no non-scheduled commercial bank (private sector, public sector and foreign banks) in India. There are five Urban Cooperative Banks and three Local Area Banks which function as non-scheduled banks in India. Small Finance Banks and Payments Banks have not been licenses under Section 22 of the Banking Regulation Act, 1949.

### India needs Large Sized Banks

Industrial and Commercial bank of China is the first ranked bank in the world with an asset size of USD 3,893.23 billion. Punjab National Bank, the largest nationalised bank in India has an asset base of USD 100 billion and its rank is 717. SBI a public sector bank merged with its five associates and BharatiyaMahila Bank with effect from April 1, 2017 and after merger its asset size is USD 573 billion (₹37 trillion). This will boost it among the top 50 banks (SBI earlier rank 272). National Bank of Australia has an asset base of USD 578.46 billion and it's rank is 49. To compete with large sized banks in the world India needs more large sized banks. Therefore merger of many nationalised banks is under consideration.

## C. Based on the Ownership Pattern

Any bank in which not less than 51 percent of shares are owned by the Government are called Government banks or public sector commercial banks (Total 21). All nationalized banks (19 banks, in 2017), SBI and IDBI Ltd. are public sector commercial banks. All of them are joint stock company type banks. There are corporation type banks. Each corporation type bank is established by a separate Act of Parliament and is fully owned by Government of India.

***Examples:***

IFCI, SIDBI, EXIM Bank, etc.

All banking companies owned by private people are called private sector commercial banks. All cooperative banks are owned by its members from the public.

1n 1969, there were 14 private banks which were concentrated in cities and towns. Their objective was to earn more profits. In order to channelize the funds with these commercial banks towards national priorities and to develop agricultural and rural sector nationalization of banks was undertaken. Government paid the share capital of those banks to the private owners and took over as Government banks. This is called nationalization of banks. 6 more banks were nationalised in 1980. New Bank of India one of the nationalised bank merged with Punjab National Bank in 1980